CANADA BREAD
COMPANY, LIMITED

INTERIM REPORT TO SHAREHOLDERS

For the First Quarter Ended
March 31, 2001

CANADA BREAD COMPANY, LIMITED

REPORT TO SHAREHOLDERS:

Sales for the quarter of $137 million represented a 4.8% increase from last year, reflecting improved revenues across all product lines. Earnings from operations for the quarter of $5.9 million compared to $4.7 million last year, an increase of 26.5%. Earnings were higher due to increased sales and improvements in mix, margins and costs resulting from ongoing improvement initiatives.

Net earnings for the quarter of $3.3 million ($0.16 per share) compares to $2.3 million ($0.11 per share) last year, an increase of 45% in earnings per share. The increase was a result of increased operating earnings, improved earnings at 25% owned Multi-Marques Inc., and lower interest expense.

Interest expense for the quarter was reduced due to strong cash flows and associated repayment of long term debt. Cash flow from operations for the quarter of $11.1 million compares to a cash usage last year of $10.1 million. Cash flow was positively affected by the increase in operating earnings, receipt of a special dividend of $10.4 million from Multi-Marques Inc. and a reduction in working capital.

A Dempster's WholeGrain line of breads was launched nationally during the quarter, bringing to market the first leading grain bread made from whole grain flour.

During the quarter, the Company announced that it had reached an agreement to purchase the remaining 75% of Multi-Marques Inc., to bring its ownership to 100%. The agreement continues to be subject to clearance under the Competition Act.

For the Board of Directors,

Roger Dickhout
President and Chief Executive Officer

Richard A. Lan
Chairman

CONSOLIDATED STATEMENTS OF EARNINGS

In thousands of Canadian dollars, except per share amounts (Unaudited)	Quarter Ended March 31, 2001	2000
Sales	**$ 136,975**	$ 130,753
Earnings from operations	**5,885**	4,654
Other income	**156**	33
Earnings before interest and taxes	**6,041**	4,687
Interest expense	**217**	587
Earnings before income taxes	**5,824**	4,100
Income taxes	**2,501**	1,805
Net earnings for the period	**$ 3,323**	$ 2,295
Earnings per share	**$ 0.16**	$ 0.11
Dividends per share declared	**$ 0.06**	$ 0.06
Weighted average number of shares (millions)	**21.4**	21.4

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED STATEMENTS OF CASH FLOWS

In thousands of Canadian dollars (Unaudited)	Quarter Ended March 31, 2001	2000
Cash Provided By (used in):		
Operating Activities		
Net earnings for the period	**$ 3,323**	$ 2,295
Add (deduct) items not affecting cash:		
Depreciation	**4,467**	4,247
Amortization	**736**	761
Future income taxes	**(95)**	—
Associated company dividends, net of undistributed earnings	**10,250**	—
Changes in non-cash working capital	**(7,573)**	(17,357)
	11,108	(10,054)
Financing Activities		
Dividends paid	**(1,285)**	(1,285)
Increase (decrease) in long-term debt, net	**(20)**	9,277
	(1,305)	7,992
Investing Activities		
Additions to property and equipment	**(2,173)**	(698)
	(2,173)	(698)
Increase (decrease) in cash and cash equivalents for the period	**7,630**	(2,760)
Bank indebtedness, beginning of period	**(3,280)**	(1,436)
Cash (Bank indebtedness) end of period	**$ 4,350**	$ (4,196)

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CANADA BREAD COMPANY, LIMITED

CONSOLIDATED BALANCE SHEETS

In thousands of Canadian dollars, as at	March 31, 2001 (Unaudited)	March 31, 2000 (Unaudited)	December 31, 2000 (Audited)
Assets			
Current assets:			
Cash	**$ 4,350**	$ —	$ —
Accounts receivable	**19,666**	21,265	25,094
Due from related company	**5,970**	4,669	5,281
Inventories	**16,706**	15,067	16,065
Income and other taxes receivable	**2,621**	—	1,673
Future tax asset	**2,745**	3,772	2,655
Prepaid expenses	**3,280**	1,217	1,740
	55,338	45,990	52,508
Investment in associated company	**36,721**	46,128	46,971
Property and equipment	**154,382**	162,760	156,676
Goodwill	**73,489**	76,729	74,225
	$319,930	$331,607	$330,380
Liabilities and Shareholders' Equity			
Current liabilities:			
Bank indebtedness	**$ —**	$ 4,241	$ 3,280
Accounts payable and accrued charges	**46,775**	42,525	55,958
Dividend payable	**1,285**	1,285	1,285
Current portion of long-term debt	**97**	106	102
	48,157	48,157	60,625
Long-term debt	**160**	23,239	175
Future tax liability	**34,134**	35,896	34,139
Shareholders' equity	**237,479**	224,315	235,441
	$319,930	$331,607	$330,380

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

In thousands of Canadian dollars (Unaudited)	Quarter Ended March 31, 2001	2000
Retained earnings, beginning of period	**$198,476**	$194,195
Adjustment to reflect change in accounting for income taxes	**—**	(7,855)
Net earnings for the period	**3,323**	2,295
Dividends declared	**(1,285)**	(1,285)
Retained earnings, end of period	**$200,514**	$187,350

The accompanying notes to the consolidated financial statements are an integral part of this statement.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(Quarter ended March 31, 2001 and March 31, 2000)

1. Basis of presentation

These consolidated financial statements should be read in conjunction with the consolidated financial statements for the year ended December 31, 2000 as set out on pages 11 to 19 of the 2000 Annual Report. These financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2000.

2. Acquisition

On January 22, 2001, the Company reached an agreement to increase its ownership in Multi-Marques Inc. from 25% to 100% by acquiring the remaining outstanding shares from all of the other shareholders. The purchase will represent a net investment of approximately $125 million and will be financed with new long-term bank debt. Finalization of the transaction is dependant on clearance of the transaction under the Competition Act.